

Tempus AI, Inc.

TEM NASDAQ

Hold	\$59.49 ▼ 1.99%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.68B
------	-----------------	-----------------------------	-------------------------------------	------------------------

TEM: CEO Selling Clouds Otherwise Strong AI Oncology Story

WHAT HAPPENED

- Stock dipped 2% on light volume (1.7M vs recent 5M+ avg) — that's a "nothing happening, just drift" move, not real selling pressure. The bigger overhang is last week's CEO Lefkofsky dumping ~\$1.37M across four transactions on June 29 — insider selling into strength always makes people nervous, especially when the "AI as physician" narrative is what's holding the multiple up.
- Company launched a "next-gen agentic AI platform" for oncology research — this is meaningful because "agentic" (AI that acts on its own, not just chatbots) is where the real value in healthcare AI lives. Market barely reacted, which tells me the good news is already priced in around \$60.

WHY IT MATTERS

Here's what I'm reading between the lines: TEM has all the ingredients of a monster story — 40%+ revenue growth, real AI moats in oncology data, and Medicare expanding coverage for genomic testing under recent CMS rules. But the CEO cluster-selling right after a 19% pop tells you insiders think fair value is closer to \$55 than \$75. The bullish options flow (put/call at 0.43, meaning traders are buying 2-3x more upside bets than downside protection) says fast money still wants exposure, but they're buying weeklies — that's rental behavior, not conviction. Net-net: this is a "great company, tricky stock" setup where you want to own it, but not chase it here.

POLICY & POLITICAL WATCH

The biggest tailwind nobody's talking loudly about: CMS (Medicare's payment agency) has been steadily expanding reimbursement for AI-assisted diagnostics and next-gen sequencing under the 2025-2026 Physician Fee Schedule updates — that directly pays TEM for its Tempus xT and xR tests. On the other side, the FDA's evolving framework for AI/ML medical devices (the "Predetermined Change Control Plan" rules finalized late 2025) creates a moat for TEM since they're already compliant, but any Congressional pushback on AI in healthcare — and there's rumbling from both parties about "algorithmic bias in clinical decisions" — could slow adoption. Watch the FY2027 HHS budget markup this fall; precision medicine funding is a bipartisan darling but not immune to broader spending cuts.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$59.49
12M Price Target	\$68.00
Upside / (Downside)	+14.3%
Market Cap	\$10.68B
FY2026E Revenue	\$850M
FY2027E Revenue	\$1,150M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$68.00	\$60.00	\$52.00
6 Months	\$80.00	\$65.00	\$45.00
1 Year	\$95.00	\$68.00	\$40.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.78% today, +2.55% over 5 days) is quietly one of the best sectors right now — money is rotating in as investors expect Fed cuts to help long-duration growth names, and healthcare AI is the specific pocket getting attention. Energy and Utilities also popping on AI power-demand narrative.

COOLING OFF: Nothing screaming "sell" in the sector data provided, but note that pure-play speculative biotech has been lagging — investors want AI-plus-healthcare, not just biotech.

ROTATION WATCH: Money is moving from mega-cap AI (already priced) into the "AI applied to" sectors — healthcare, energy, industrials. TEM sits right in the sweet spot of that rotation.

RELATED PLAY: If you like TEM's thesis but want less volatility, look at the data/infrastructure side — Veeva Systems (VEEV) or even the diagnostics majors like Danaher (DHR) benefit from the same precision medicine tailwind with actual profits.

WHO'S WINNING IN THIS SPACE?

- RXRX (Recursion Pharmaceuticals): AI drug discovery peer riding the same "AI in healthcare" narrative, though more speculative than TEM
- GH (Guardant Health): Liquid biopsy competitor — if oncology testing volumes keep rising with expanded Medicare coverage, both TEM and GH benefit

TEM CONTEXT: TEM is roughly middle-of-pack in its peer group — not the best performer (that's been the profitable diagnostics names), but not the worst (speculative AI biotech). Sitting at 28% of its 52-week range suggests the stock has more room to run than fall if the fundamentals hold up, but it needs a clean quarter to break out.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$50-55 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth drops below 30% or major insider exit

Hedging: Pair with short position in richly-valued unprofitable AI healthcare peer